

The stock makes a lower bottom at G, and it looks to take as much time to return to H (from G) as the EF recovery.

Events. If the markets are not bearish, then you'll want to check news on the stock. Find out why the stock is dropping. For example, Toys-“R”-Us had problems competing with internet retailers and a large debt load that prevented them from updating their stores. They declared bankruptcy, so a cloudbank trade could have led to disaster.

GameStop suffered because people can download games without having to visit their brick-and-mortar stores. They make big bucks from used games, but digital downloading of games is jeopardizing those fat profit margins.

Stamps.com suffered after losing an exclusive contract with the US postal service.

These companies may not recover, so even if they show a cloudbank, the risk of continued losses suggests avoiding taking a position.

Bear market. When I discovered the cloudbank pattern in early 2010, I thought it was just a quirk of one bear market. Indeed, the 2007–2009 bear market has many cloudbanks, but as this chart shows, clouds also appear outside of bear markets. The stocks stage their own bear market (outside of the indices).

Recovery. If the indices continue making lower lows, there's a good chance that your stock showing a cloudbank will drop, too. So don't be in a hurry to buy. You may be able to make a purchase at a lower price.

Having said that, most cloudbanks (63%) lead to a V-shaped recovery (17% are double bottoms, 12% are ugly double bottoms, and 8% are horizontal, to round out the lot), so waiting on the sidelines to buy means less risk but also potentially lower profit.

Focus on Failures

How do cloudbanks fail? Two ways: Price doesn't return to the bottom of the cloudbank, or even if it does, it takes too long to get there. Perhaps the most dangerous mistake traders make is buying too soon, before price has bottomed.